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FREE REPORT

BATNA 101: How to Boost Your Power at the Bargaining Table



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Your “best alternative to a negotiated agreement,” or BATNA, is often your strongest source of power in negotiation. Here’s advice from the Program on Negotiation on how to identify, improve, and leverage your BATNA to ensure you get the best deal possible.

How to Determine Your BATNA

The business partnership had gone awry. After building a profitable construction company together over several decades, Mia Stevenson and Jim Shapiro recognized that their differences had become irreconcilable. Stevenson wanted to buy out Shapiro, who was willing to sell for the right price. After months of haggling and legal maneuvering, Stevenson made her final offer: \$8.5 million for Shapiro’s shares in the company.

The company is worth about \$20 million, Shapiro thought to himself. I own 49% of the shares. Heck, I helped build this company. I’m not going to accept anything less than my fair share—\$10 million. I’d rather fight in court than accept \$8.5 million. Shapiro rejected the offer, and each party prepared for a trial.

Shapiro’s rationale for rejecting Stevenson’s offer seemed reasonable enough. Furthermore, Shapiro’s lawyers assured him, a court ruling very likely would be in his favor.

Yet Shapiro made the wrong choice. He could have figured this out if he had assessed his BATNA—his *best alternative to a negotiated agreement*. A negotiator’s BATNA is the course of action they will pursue if the current negotiation results in an impasse. An evaluation of your best alternative to a deal is critical if you are to establish the threshold at which you will reject an offer.

Effective negotiators determine their BATNAs before talks begin. When you fail to do so, you're liable to make a costly mistake—rejecting a deal you should have accepted or accepting one you'd have been wise to reject. In negotiation, it's important to have high aspirations and to fight hard for a good outcome. But it's just as critical to establish a walkaway point that is firmly grounded in reality.

To determine your BATNA in a given negotiation, follow these four steps:

- 1. List your alternatives.** Think about all the alternatives available to you if the current negotiation ends in an impasse. What are your no-deal options?
- 2. Evaluate your alternatives.** Examine each option, and calculate the value of pursuing each one.
- 3. Establish your BATNA.** Choose a course of action that would have the highest expected value for you. This is your BATNA—the course you should pursue if the current negotiation fails.
- 4. Calculate your reservation value.** Now that you know your BATNA, calculate your *reservation value*—the lowest-valued deal you are willing to accept. If the value of the deal proposed to you is lower than your reservation value, you'll be better off rejecting the offer and pursuing your BATNA. If the final offer is higher than your reservation value, you should accept it.

To assess his BATNA, Shapiro first should have obtained the following information from his lawyers: estimated litigation costs, \$500,000; his likelihood of winning in court, approximately 70%; and the fact that if he won, he would receive \$10 million for his shares, whereas if he lost, he likely would receive only \$3 million.

Next, Shapiro should have used this formula to determine the actual value of his BATNA:

$$\begin{array}{l}
 (0.7 \times \$10\text{M}) \\
 \text{Value if he wins in court} \\
 + (0.3 \times \$3\text{M}) \\
 \text{Value if he loses in court} \\
 - \$500,000 \\
 \hline
 \text{Cost of litigation} \\
 \$7.4\text{M}
 \end{array}$$

Shapiro should then have determined his reservation value for the negotiation with Stevenson: What is the least he would accept? It's worth noting that, after the trial was well under way, Shapiro came to believe that he should not have rejected Stevenson's offer. "I still think the offer should have been higher," he said, "but if I could go back, I'd accept it. Righteous indignation is worth something, but it's not worth \$1.1 million."

A critical first step in any negotiation is to assess your BATNA and the point at which you should walk away. It's also important to analyze the other side's BATNA: What will they do if you reach an impasse, and how will their behavior affect you? Aim high once talks commence, but keep an eye on your potentially changing BATNA, and do what you can to keep and strengthen your no-deal alternatives.

By Deepak Malhotra (professor, Harvard Business School)

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BATNA Dos and Don'ts

As we've already seen, BATNA development is more complex than just looking around for a good Plan B. The following six dos and don'ts will help you manage your BATNA strategy with confidence.

- 1. Do work to actively improve your BATNA.** It's not enough to simply identify your BATNA and compare it to the proposals exchanged in your negotiation. Rather, you need to try to improve it throughout the course of your negotiation. In addition, because BATNAs can fall through, it's smart to cultivate at least two or three of them, recommends Kellogg School of Management professor Leigh Thompson in her book *The Mind and Heart of the Negotiator*. For a job seeker, that might mean continuing to seek leads in your network or thinking about other paths, such as going back to school.
- 2. Don't reveal your BATNA too early.** Even if you're certain your BATNA is rock solid, hold off on revealing it. That's because the information could come across as a threat: "If you can't give me an even better deal than the

one I just outlined, I'm out of here." Threats in negotiation foster a competitive atmosphere and hinder your ability to explore value-creating trade-offs.

Another risk: If the other party doesn't think your BATNA is as strong as you do, they might try to drive a harder bargain than they would if they didn't know about your best alternative. They might even try to worsen your BATNA. For example, if you tell a potential employer about a great job offer you received that's due to expire in 24 hours, they might try to eliminate the competition by dragging out talks to allow the deadline to pass.

Finally, keep in mind that a strong BATNA could be a useful bargaining chip near the end of a negotiation after you've exhausted other strategies.

3. Don't reveal a weak BATNA at all. No matter how hard you try to develop a strong BATNA, you may be unable to do so. For instance, maybe you can't find a job that seems half as appealing as the one you're negotiating for. It's Negotiation 101: Never share your BATNA with the other party if it is hopelessly weak. A bad BATNA is also known as a WATNA, or *worst alternative to a negotiated agreement*. Telling a potential supplier, for example, that you abruptly lost your last supplier and are desperate to do a new deal is a surefire way to ensure the new potential partner will bid high on price. In addition, avoid appearing to be in a hurry, seeming stressed, or revealing that you have a wide-open schedule—all potential "tells" that you are eager to close a deal.

4. Don't bluff about your BATNA. Suppose you're thrilled with your BATNA and eager to play it up: "I've got a great deal for a used car waiting for me at the dealership down the street, but I wanted to see what you had to offer first." Don't be surprised if the salesperson starts telling you about the unreliable car they bought from that dealer 10 years ago.

When a counterpart disparages your BATNA, they're obviously hoping to taint it in your eyes with the goal of playing up their own offer. Don't fall for this tired, old ploy. Of course, it's smart to investigate any potentially

legitimate claims someone makes about your BATNA, but recognize that they have very real incentives to convince you that your outside options are not as good as you think they are.

Take Your BATNA to the Next Level

If your current negotiation reaches an impasse, what's your best outside option? Most seasoned negotiators understand that an awareness of your BATNA—particularly if it's a strong one—can give you the confidence you need to walk away from a subpar agreement. Although BATNA is a commonsense concept in the negotiation world, achieving “best practice” in this arena is not easy. Here are three additional strategies to help you take the BATNA concept to the next level and gain a critical advantage in upcoming deals.

1. Translate your BATNA to the current deal. Here's a classic illustration of the BATNA concept: While haggling over a rug in a bazaar, you're aware that you can purchase an identical rug at a nearby stall for \$100. Assuming that you want only one rug, you won't pay more than \$100 in the negotiation at hand. Such clear-cut BATNAs tend to exist more in theory than in reality. In truth, your best alternative to agreement is rarely, if ever, apples-to-apples comparable with the deal at hand.

The implication? When negotiating, take time out for an explicit translation process to ensure that you aren't giving up a good deal in hand for a BATNA in the bush. For example, as the renewal deadline for Larry's homeowner's insurance policy approached, he decided to do a “market check” to compare prices. His existing insurer—let's call it Acme—had been raising its rates by 7% to 10% annually for the past three years, and Larry wasn't sure he was getting the best deal. He then found a carrier that offered a policy for 30% less than Acme's renewal rate.

Delighted, Larry came very close to switching to the new insurer. But after doing some digging (and receiving some self-interested guidance from Acme), Larry identified important coverages and term definitions

buried deep in the legalese of the two policies. After going through a translation process to make the prices comparable, Larry realized that Acme, his current insurer, was offering him a better deal. The lesson: Rather than assuming that the deal on the table matches your BATNA point by point, translate your BATNA to fully understand what it means for the current negotiation.

2. Assess their BATNA with care. It may seem an obvious step, but even the most sophisticated negotiators often fail to think through the other party's BATNA as carefully and objectively as they think through their own. Although you can't assess someone else's BATNA as precisely as you can your own, asking yourself *What will they do without a deal?* provides valuable insight.

Consider the case of a Mississippi farmer in the early 1990s. The state legislature had just legalized riverboat gambling, and the farmer owned land along the Mississippi River that was very attractive for the development of hotels, restaurants, and other businesses. Sure enough, an entrepreneur approached the farmer about buying his land. Before meeting to negotiate a purchase price, the farmer hired a professor of agriculture to estimate the land's value. After conducting soil tests and estimating cash flows, the professor concluded that the land was worth approximately \$3 million.

As the negotiation began, the farmer kept quiet and let the entrepreneur frame the discussion. The entrepreneur's opening offer: \$7 million. Though ecstatic, the farmer kept his composure and made a counteroffer of \$9.5 million. Eventually they reached a deal of \$8.5 million.

You might view this tale as a success story for the farmer; after all, he got \$8.5 million when he was expecting only \$3 million. But what if the farmer had considered the entrepreneur's perspective, perhaps retaining an expert in the gaming industry to assess the land? He might have learned just how profitable casinos can be and that the benefit to the entrepreneur of securing the optimal location rather than a second-best BATNA was worth much more than \$8.5 million.

3. Think through two-level BATNAs. In most business negotiations, you face two counterparts: the individual across the table and the organization they represent. This means you're facing two BATNAs as well. Sophisticated deal makers think through *both* BATNAs—the organization's and the individual's.

In one real-world case, a vacation resort was seeking to have certain equipment installed on its property. The equipment manufacturer sent Leslie, the CEO's newly hired lieutenant, to negotiate this major contract. The resulting deal was extremely successful for both sides.

A few years later, the manufacturer held its annual meeting of top managers at the resort to show off its installations and celebrate the deal. The two organizations held a panel discussion to reflect on the dynamics of their negotiation. At one point, the moderator asked Leslie to reveal her BATNA. She responded with a textbook analysis: "Our BATNA was to look around for some other major contract in which to powerfully demonstrate our capability." When pressed, she continued, "Well, *my* BATNA, as a new hire, was probably to look around for another job if I didn't get the deal."

Most meaningful negotiations occur between organizations, not individuals—yet individuals, not organizations, negotiate deals. Thus, it's crucial to consider the incentives of the individual across the table: How are they compensated? How long have they worked for the company? What are their long-term aspirations? Only by examining both pieces of the BATNA will you gain a complete picture of the other side's walk-away alternatives.

By Guhan Subramanian
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First published in *Negotiation Briefings*

Track BATNAs in Multiparty Negotiations

Negotiations between just two sides can be tough enough to manage. Add more parties to the mix, and things get a lot more complicated. Yet multiparty talks are common: Think of department heads dividing up scarce resources, family members debating the future of a business, or a group of consumers launching a class-action lawsuit.

One of the issues that makes multi-party negotiations more complex than two-party talks is the fluctuating nature of each party's BATNA, according to Massachusetts Institute of Technology Professor Lawrence Susskind and Harvard Law School Emeritus Professor Robert Mnookin. By preparing for this complication, you will be well positioned to thrive in your next round of multiparty negotiations.

As in a two-party negotiation, you should enter multiparty talks with a solid idea of your BATNA—that is, what you will do if a deal fails to materialize. Knowledge of your BATNA can help you stand firm in the face of offers that fall short of your goals.

Suppose that Mark, an unemployed marketing professional, is preparing to meet with his three siblings to discuss the future of their marginally profitable family business. Mark's preference is to dissolve the business and use his share of the assets to start a consulting firm. However, he believes that at least one of his siblings would prefer to keep the business running as is or sell it. If the negotiation doesn't work out as he would like, Mark decides that his BATNA is to move to a city across the country where a colleague has offered him a job.

You should also attempt to analyze the BATNAs of the other parties at the table. Roughly calculating the minimum you can offer someone to secure a commitment will help you immensely. Mark, for instance, expects that his sister Leah, who has been most involved in the family business, would like it to remain operational and would demand a large share of the pie to be persuaded to dissolve it. He estimates that she will ask for 50% of the assets but be willing to settle for about 40% and accept a position with a client.

In negotiations among a large number of parties, determining each party's BATNA can be a daunting, even impossible, undertaking. At the very least, try to foresee how parties may align and estimate the BATNA of each possible coalition.

Once discussions begin, parties' BATNAs will begin to fluctuate, according to Susskind and Mnookin. For instance, imagine that Mark persuades his other siblings, Jaclyn and Tom, that the business should be dissolved. At this point, because Leah is the only one who wants to keep the business running, her BATNA becomes a virtual nonissue. Yet to preserve their relationship with her and one another, her siblings become focused on dividing up the assets in a way that satisfies them all. A payoff matrix—a spreadsheet that lists the names of the parties in rows, the issues to be discussed in columns, and the parties' priorities on those issues in the boxes that are formed—will help you keep track of shifting BATNAs in addition to parties' preferences.

Does the BATNA Concept Translate Across Cultures?

When should you walk away in negotiation? We are typically advised to walk away from the bargaining table when we have concluded that we won't reach an agreement that's better than our BATNA. But in cross-cultural negotiations, there may be another factor to consider: whether you are legally obligated to stay at the table.

In a [2017 article](#), researchers Gregory Marsden and George J. Siedel argue that in some nations, resorting to your BATNA could get you into legal hot water if you're not careful.

Why? Because the BATNA concept was developed in a common-law country, the United States, where courts rely heavily on precedents. In common-law countries, parties are expected to understand that they face the risk of not reaching agreement. If you decide not to accept a deal and turn to your BATNA, typically there's no harm, no foul.

By comparison, most other nations have a civil-law system that relies more on statutes and codes. In civil-law countries, laws often prohibit negotiators from walking away from a negotiation without just cause after talks have progressed to a

certain point, such as when a party has reason to believe a contract is imminent, write Marsden and Siedel. The nature and extent of this obligation differ from one country to the next.

While negotiators in a common-law country need only consider their own interests when deciding whether to abandon talks in favor of their BATNA, those in a civil-law country may have a duty to also consider their current counterpart's interests before breaking off a negotiation. A 2004 analysis prepared by the International Association of Young Lawyers concluded that in many European countries, if the abandoned party can prove that a contract appeared to be forthcoming, the departing party can be required to compensate them for damages and certain expenses. Failure to do so could result in intercultural conflict between negotiating counterparts and even a lawsuit.

This doesn't mean that you and your organization aren't allowed to turn to a better deal when negotiating in civil-law countries; rather, it means fine-tuning your diplomacy and negotiation skills to the intercultural negotiation. Specifically, before negotiating, you might consider stipulating in writing that you reserve the right to break off talks during the process, keeping in mind that you could still be liable for doing so in certain situations. Moreover, there may be circumstances where you would be bound to an agreement that hasn't yet been finalized.

In sum, your international negotiation strategies may need to be different from those you use at home. Before negotiating, you might want to consult with an experienced contract lawyer in the nations where you are doing business to ensure that you know when and how you can resort to your BATNA—and consult with a lawyer again before declaring an impasse.

When a BATNA Is Uncertain

Ask almost any real estate agent, and you'll hear that homeowners often turn down decent offers in the hope of getting a better one that never materializes. Such miscalculations reflect the challenges of uncertain BATNAs. In fact, BATNAs are often uncertain rather than guaranteed, a reality that complicates the straightforward advice to compare your best offer in a negotiation to your BATNA.

In their research, Robin L. Pinkley and her colleagues report that most people have difficulty assessing uncertain BATNAs, or so-called *phantom BATNAs*, and make subpar decisions as a result.

In their experiments, Pinkley and her colleagues had participants play the role of job candidates negotiating their starting salary. Participants were told before negotiating that they definitely had another job offer, possibly had another offer (a “phantom BATNA”), or had no other offer. Overall (and not surprisingly), those who believed they might have another offer felt more powerful and consequently negotiated more aggressively and successfully on salary as compared to participants who were told they had no other offer. The results suggest that an uncertain BATNA boosts our sense of power and helps us get better results than when we know we have a weak no-deal alternative.

However, participants also made mistakes when assessing their BATNAs. First, many participants who were told they had a strong BATNA that was certain or likely to materialize failed to tell their counterpart about it, which probably prevented them from gaining valuable concessions. Second, overconfidence led participants with unlikely BATNAs to turn down offers they should have accepted. Third, and conversely, people facing *highly likely* BATNAs tended to be overly *pessimistic* that the BATNA would pan out—and took the “safe” offer on the table.

“Rather than exhibiting consistent optimism or overconfidence, our negotiators seemed to make judgments that ‘regress to the mean’ by being overconfident when likelihoods are low, and underconfident when likelihoods are high,” Pinkley and her colleagues conclude.

The research highlights the importance of making more of your BATNA and assessing it more accurately. As part of your preparation for negotiation, gather as much objective information about your BATNA’s likelihood as you can. Then determine if there are steps you can take to improve the odds that your BATNA will be available if you need it. That might mean conveying to sellers of your second-choice home that you remain very interested, for example. Once you have taken steps to secure your BATNA, you should feel confident relying on it at the negotiating table—and making more ambitious proposals.

BATNA and Long-Term Relationships

BATNA analysis often assumes that you're about to do a first-time deal with an unfamiliar counterpart. The question is framed as a choice between striking a deal or walking away.

Of course, many, if not most, of our negotiations are with people we are already in partnerships with. Because the BATNA concept is often defined as an “outside option,” independent of one's current negotiation, it can be difficult to apply to negotiations with thriving partnerships, writes Harvard Business School professor James Sebenius in [an article](#) in the *Negotiation Journal*.

“Think of a reasonably content married couple or successful business partners negotiating an issue of keen mutual interest on which they have different preferences,” writes Sebenius. If that married couple can't agree on where to live after retirement, the only obvious “outside option” would be separation or divorce—hardly an appealing BATNA if they are “reasonably content.” Similarly, if partners in a successful business can't see eye to eye on a critical issue, they are unlikely to view the dissolution of their partnership as an acceptable BATNA.

Rather than thinking of BATNA as an “outside option,” Sebenius advises us to think of it more broadly as a “no-deal option.” When framed this way, exercising our BATNA doesn't require us to walk away from our negotiating partner if we're unsatisfied with their proposal; it just requires us to keep saying no.

Specifically, Sebenius recommends considering the full consequences of saying no and how we might influence those consequences to our advantage. Such consequences might include “costs or risks borne by each side, foregone benefits, altered settlement possibilities, damage to the relationship,” and so on, he writes.

Avoid the Agreement Trap

Negotiators often fail to engage in a thorough and accurate BATNA analysis. As a consequence, they may choose to accept a disappointing deal for reasons that are far from practical.

In their research, Taya R. Cohen, Geoffrey J. Leonardelli, and Leigh Thompson reveal why it can be so hard to walk away from a subpar agreement and offer a possible antidote. Specifically, negotiators can fall victim to the *agreement trap*—the common tendency to consent to a deal inferior to one's BATNA—for several reasons.

First, one party may successfully conceal the fact that the proposed agreement is disadvantageous to the other party. For example, in negotiations for an unpaid internship, a candidate might assume that the position could lead to a paying job. If the hiring manager doesn't mention that is not the case, the burden falls on the candidate to figure this out. If they don't, they could agree to an internship that's inferior to other positions they are considering.

Second, parties may be reluctant to walk away from a subpar deal because of the significant time, money, and energy they've invested in the negotiation, a phenomenon known as *escalation of commitment*. Basic economic principles tell us that because such resources are sunk costs that can never be recovered, we shouldn't consider them when deciding whether to commit further in a negotiation. However, abundant research suggests that we will try to recoup our losses by continuing to negotiate. This trap can be especially pernicious in highly competitive negotiations.

Third, negotiations often foster a sense of interdependence that leaves parties feeling beholden to each other. A desire to gain acceptance from the other party may prevent us from engaging in BATNA analysis and recognizing that it's time to walk away.

Fourth, negotiators may irrationally pursue agreement for fear of harming their reputation as dealmakers. After all, "the common expressions 'failure to reach agreement' and 'failed to come to terms' smack of personal and social shortcomings," write Cohen and her team.

The Benefits of Teamwork

You may be able to avoid the agreement trap simply by choosing to negotiate as part of a team rather than on your own, Cohen and her colleagues find in two experiments.

In one of them, more than 1,000 MBA students engaged in a simulated real estate negotiation between a seller and a buyer in which the parties' interests were incompatible—that is, impasse would have been the most rational outcome for both parties. The students negotiated either one-on-one, two-on-two, or three-on-three. Teams were more likely than solo negotiators to reach impasse, the results showed. Two- and three-person teams were equally skilled at knowing when to walk away. A second experiment found that teams are better than solo negotiators at avoiding the agreement trap because of their greater judgment capabilities.

Why was this the case? When doing BATNA analysis, teams may feel less bound to a disappointing agreement than solo negotiators do because their relationships with other team members trump their bonds with their counterparts.

Toward More Accurate BATNA Analysis

The following recommendations, derived from Cohen and her colleagues' research and the work of other negotiation experts, can help us conduct more accurate BATNA analysis and overcome our fear of impasse:

- 1. Don't go it alone.** Because two (or more) heads can be better than one in negotiation, think about recruiting a trusted colleague or friend as your teammate. One of you might explicitly play the role of devil's advocate when deciding whether to do a deal.
- 2. Ignore sunk costs.** Don't accept a deal simply because you feel that you've invested too much in it to walk away.
- 3. Change attitudes toward impasse.** In your own and your organization's negotiations, break the habit of equating impasse with failure. Require negotiators to conduct a BATNA analysis when deciding whether to close a deal. Reward them based on the quality of their decision process rather than on whether they reach agreement.